

APAC Food & Beverages

Ajinomoto Co Inc

Rating

Outperform

Price Target

📈 2802.JP

7,200.00 JPY (7,100.00 OLD)

6 August 2026

Price Target Upgrade



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Ajinomoto Q1: Big beat and raise with ABF up 77%

Ajinomoto beat across all key business segments in Q1, with ABF leading the way with an impressive 54% revenue growth, 77% BP growth, and 750bps of margin expansion, well above even our numbers. The company sees ABF momentum continuing into Q2 and, their confirmation that there was no impact from price increases in Q1 makes the momentum all the more impressive. Overall Ajinomoto revenues were up 13% in Q1 (in line with our est), BP was up 27% (11% vs Bern) and, while the company revised up BP guidance by 2.5%, we still view it as very conservative. We now expect Ajinomoto to grow revenues by 10% in FY3/27 and BP by 29%, 1/18% points above guidance.

Overall S&F Business Profit was up 5% in cc terms and +11.5% after FX tailwinds. Asia S&F (47% of overall BP) was up c.1% in cc terms beating our estimate despite ongoing B2B headwinds and a temporary production disruption in the Philippines which looks to have been resolved in June. Japan S&F (18% of overall BP) was up 38% on the back of 280bps of margin expansion which looks to have been driven by coffee price increases and bean price hedges turning. This bodes well for the rest of the year. Management reduced their Middle East COGS headwind estimates to ¥25b and expect to fully cover this via price increases and, to a lesser extent, cost reductions.

Overall Healthcare remained loss making in the quarter, but the losses narrowed by c. 50% and, while revenues in the US and Europe disappointed, strong margin expansion (+170bps/150bps) came to the rescue and BP was a modest beat vs our est. The company expects momentum to pick up in H2.

[Click here to register for our fireside chat with Ajinomoto IR Head on Aug 27th.](#)

Investment Implications

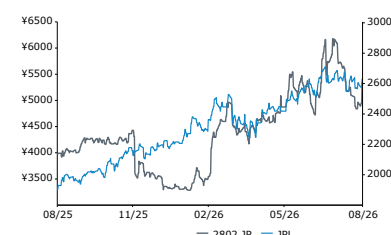
We rate **Ajinomoto Outperform** and raise **PT to ¥7,200** from ¥7,100 driven by a 2% increase in EPS estimates while maintaining our multiple target ([model](#)).

Adjusted EPS	F26A	F27E	F28E	Financials	F26A	F27E	F28E	CAGR	Valuation Metrics	F26A	F27E	F28E
2802.JP (JPY)	138.36	153.66	196.55	EBITDA (M)	270,077	330,747	395,722	21.0%	Adjusted P/E (x)	37.6	33.8	26.4
OLD	--	152.65	192.70	Revenues (M)	1,584*	1,750*	1,875*	8.8%	EV/EBITDA (x)	20.4	16.7	13.9
				EBIT (M)	181,163	234,232	294,180	27.4%	PEG Adjusted (x)	0.4	3.1	0.9
				Net Earnings (M)	145,061	156,949	199,334	17.2%	EV/Sales (x)	3.5	3.2	2.9
				ROIC (%)	8.1	9.7	10.5	--	PEG Reported (x)	0.4	3.1	0.9
				Net Debt/EBITDA (x)	1.17	0.57	(0.02)		Reported P/E (x)	37.6	33.8	26.4
									EV/FCF (x)	15.5	23.7	16.1

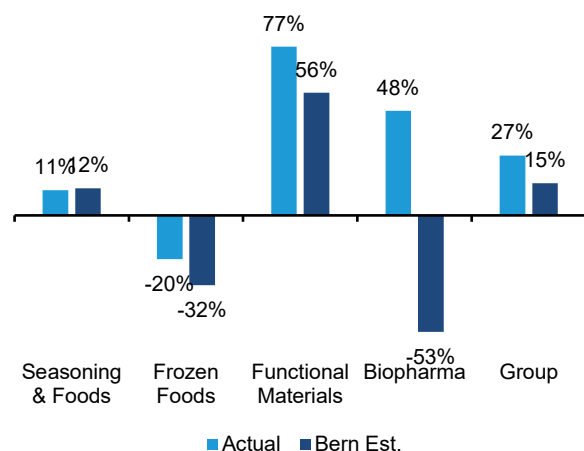
*Values shown in billions; Source: Bloomberg, Bernstein estimates and analysis.

Close Date	6 Aug 2026
2802.JP Close Price (JPY)	5,196.00
Price Target (JPY)	7,200.00
Upside/(Downside)	39%
52-Week Range	6,340.00/3,270.00
JPL	2,626.77
FYE	Mar
Div Yield	1.0%
Market Cap (JPY) (B)	5,080.31
EV (JPY) (B)	5,519.10
Performance	YTD 1M 6M 12M
Absolute (%)	56.6 (14.7) 26.8 32.6
JPL (%)	19.1 (2.1) 9.9 38.8
Relative (%)	37.6 (12.6) 16.8 (6.2)
Source: Bloomberg, Bernstein estimates and analysis.	

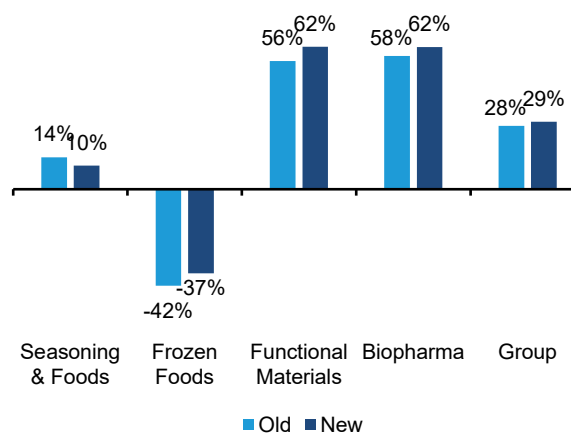
Price Performance, 1YR



DETAILS

EXHIBIT 1: **Ajinomoto beat across all divisions in Q1****Q1FY3/27 Ajinomoto Business Profit YoY% by Division**

Source: company reports, Bernstein analysis and estimates

EXHIBIT 2: **We have increased our FY3/27 BP growth by 1.7%pts mainly driven by the beat in Functional Materials this Q****FY3/27 Bernstein Estimates of Ajinomoto Business Profit YoY% by Division**

Source: Bernstein analysis and estimates

EXHIBIT 3: **Summary P&L of Ajinomoto**

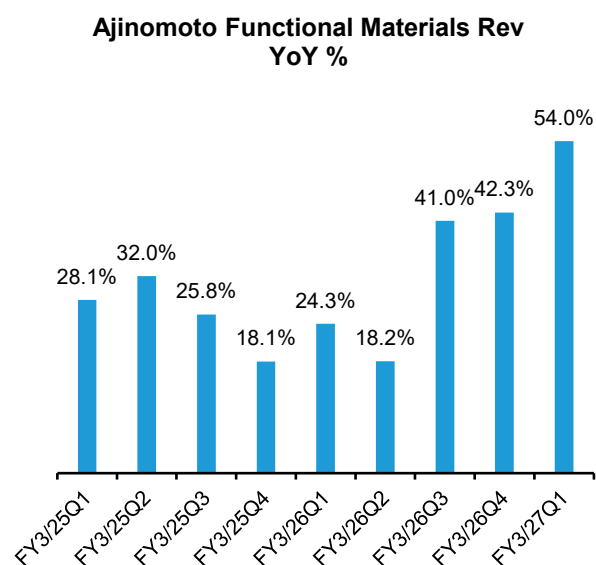
(in mn JPY)	1QFY3/26	1QFY3/27	YoY %	Bernstein	Delta	Consensus	Delta
Revenue	364,008	412,105	13.2%	413,615	-0.4%	397,040	3.8%
Business Profit (reported)	47,236	60,116	27.3%	54,165	11.0%	54,120	11.1%
% Margin	13.0%	14.6%	161	13.1%	149		
Other Operating Items	2,144	(4,221)	-296.9%	(4,450)	-5.1%		
Net Finance Income	(1,308)	(901)	31.1%	(1,458)			
PBT	48,072	54,994	14.4%	48,257	14.0%	51,810	6.1%
Tax	(13,145)	(15,681)	19.3%	(12,713)	23.3%		
% ETR	27.3%	28.5%	117	26.3%	217		
Net Profit	32,218	36,452	13.1%	32,787	11.2%	35,400	3.0%
Basic EPS (JPY)	32.6	38.1	16.8%	34.5	10.3%	35.7	6.7%

Source: company reports, CapitalIQ, Bernstein analysis and estimates

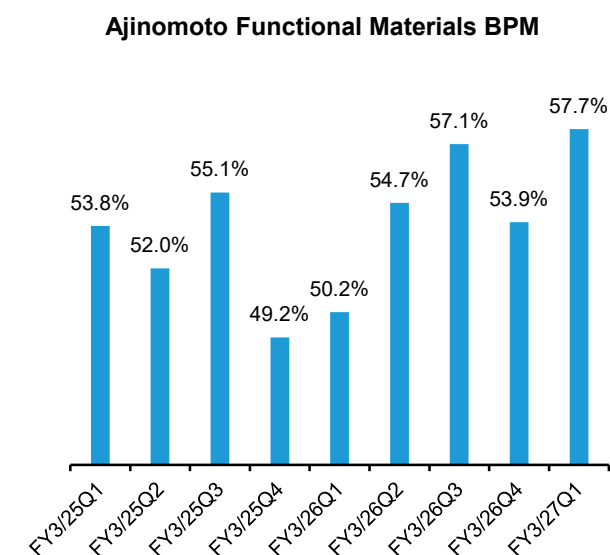
EXHIBIT 4: **Ajinomoto Earnings Summary by Segment**

(in mn JPY)	1QFY3/26	1QFY3/27	YoY %	Bernstein	Delta	Consensus	Delta
Revenue							
Total	364,008	412,105	13.2%	413,615	-0.4%	397,040	3.8%
Seasoning & Foods	213,200	238,500	11.9%	233,938	2.0%	227,530	4.8%
Frozen Foods	68,500	72,400	5.7%	73,425	-1.4%	74,300	-2.6%
Functional Materials	21,500	33,100	54.0%	29,008	14.1%	28,930	14.4%
Biopharma & Others	60,808	68,105	12.0%	77,245	-11.8%	63,190	7.8%
Business Profit							
Total	47,236	60,116	27.3%	54,165	11.0%	54,120	11.1%
Seasoning & Foods	35,700	39,800	11.5%	40,111	-0.8%	37,180	7.0%
Frozen Foods	3,000	2,400	-20.0%	2,046	17.3%	2,740	-12.4%
Functional Materials	10,800	19,100	76.9%	16,834	13.5%	15,860	20.4%
Biopharma & Others	(2,264)	(1,184)	47.7%	(4,827)	75.5%	4,720	-125.1%
Margin %							
Total	13.0%	14.6%	161	13.1%	149	13.6%	96
Seasoning & Foods	16.7%	16.7%	(6)	17.1%	(46)	16.3%	35
Frozen Foods	4.4%	3.3%	(106)	2.8%	53	3.7%	(37)
Functional Materials	50.2%	57.7%	747	58.0%	(33)	54.8%	288
Biopharma & Others	-3.7%	-1.7%	198	-6.2%	451	7.5%	(921)

Source: company reports, CapitalIQ, Bernstein analysis and estimates

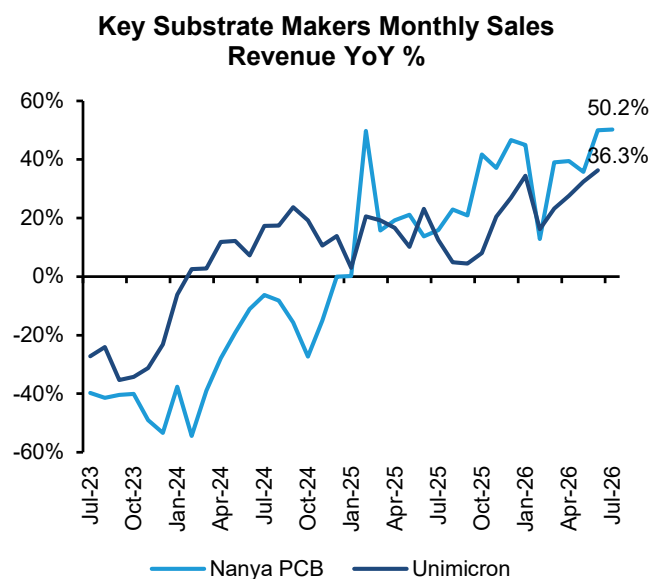
EXHIBIT 5: **Functional materials revenue growth accelerated in the quarter**

Source: company reports, Bernstein analysis

EXHIBIT 6: **And margin expanded by ~470bps YoY**

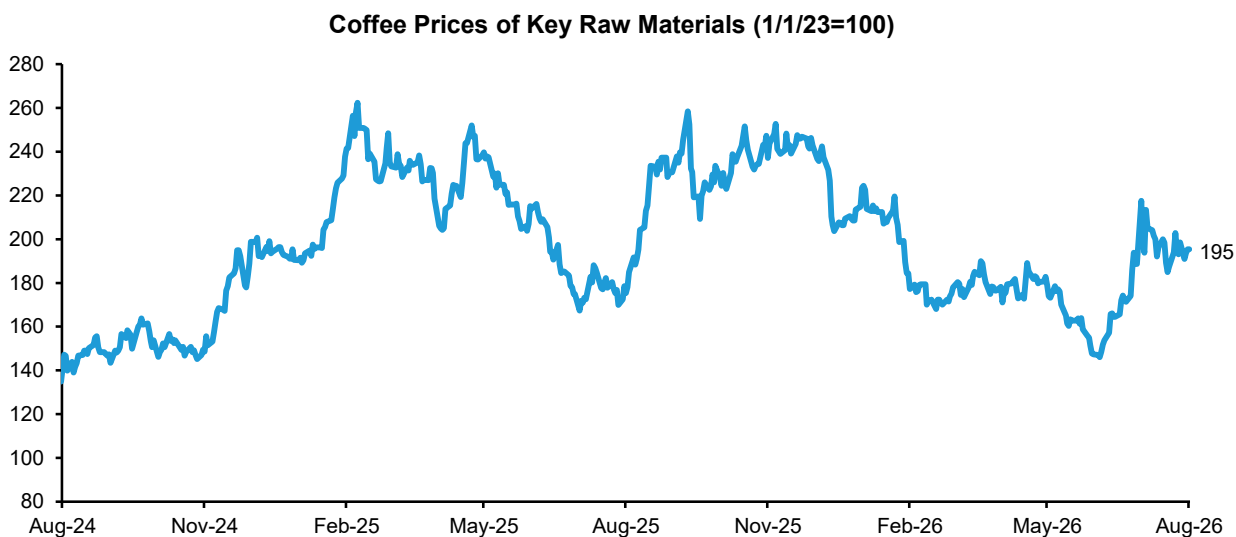
Source: company reports, Bernstein analysis

EXHIBIT 7: Monthly sales at large ABF customers such as Unimicron and Nanya PCB; growth momentum was strong over the last quarter

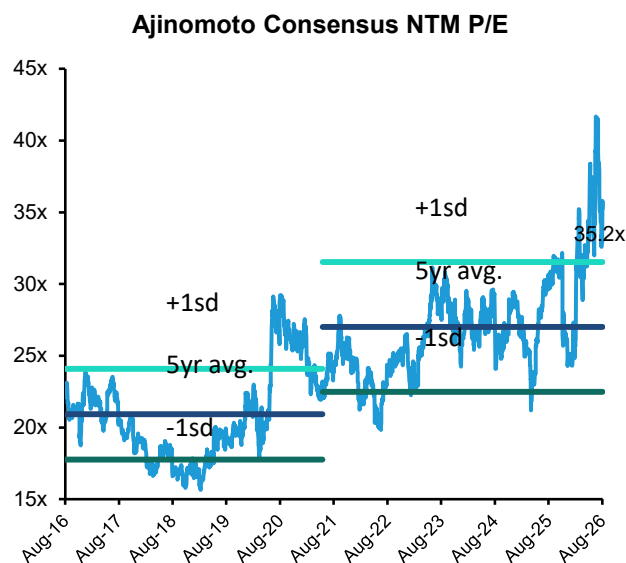


Bernstein does not cover Nanya PCB; Unimicron is covered by Alex WANG
Source: company reports, Bernstein analysis

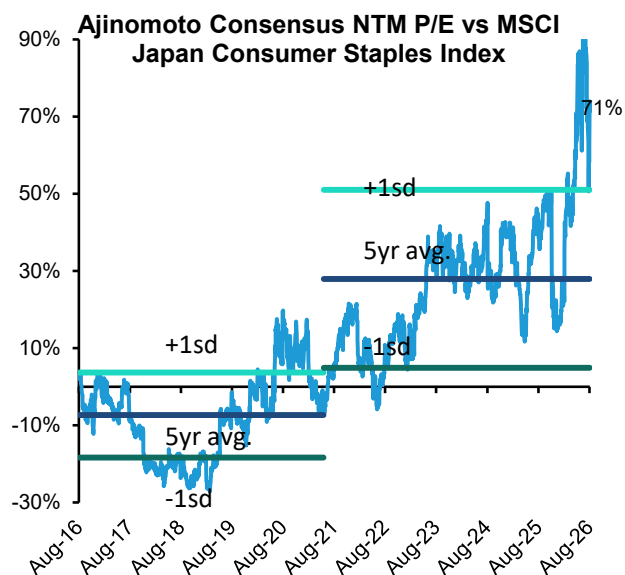
EXHIBIT 8: Global coffee spot price has come down further over the last 3 months



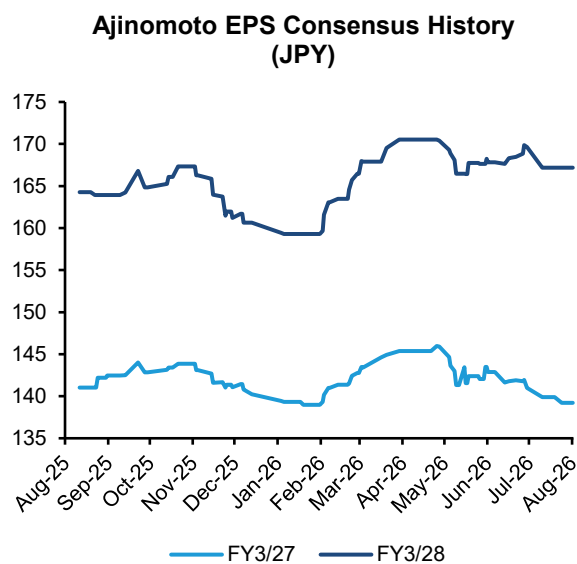
Source: Bloomberg, Bernstein analysis

EXHIBIT 9: Ajinomoto is now trading 1.8x stdev above 5-year average multiple

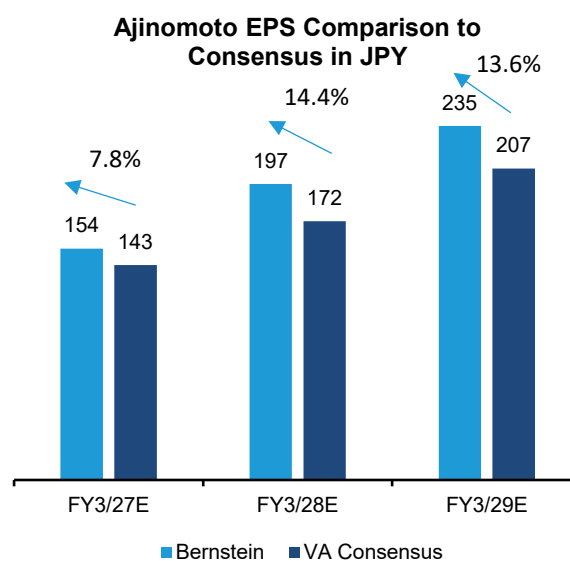
Source: Bloomberg, Bernstein analysis

EXHIBIT 10: And its premium vs benchmark index is 1.9x stdev above historical avg level

Source: Bloomberg, Bernstein analysis

EXHIBIT 11: Consensus estimates of this year have been revised down since May

Source: Bloomberg, Bernstein analysis

EXHIBIT 12: We are now 8-14% above EPS consensus for the next 3 years

Source: S&P CapitalIQ, Bernstein analysis and estimates

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 13: AJINOMOTO Income Statement

AJINOMOTO Income Statement (in JPY million, unless otherwise stated)	FY3/24 Mar-24	FY3/25 Mar-25	FY3/26 Mar-26	FY3/27e Mar-27e	FY3/28e Mar-28e	FY3/29e Mar-29e
Revenue	1,439,231	1,530,556	1,583,719	1,749,885	1,875,015	1,990,911
Cost of Sales	(927,783)	(979,792)	(986,570)	(1,090,082)	(1,168,032)	(1,240,228)
Gross Profit	511,448	550,764	597,149	659,803	706,984	750,683
SG&A	(363,767)	(391,462)	(415,986)	(425,571)	(412,803)	(401,814)
Business Profit	147,681	159,302	181,163	234,232	294,180	348,869
Other operating income	20,487	4,936	48,589			
Other operating expenses	(21,486)	(50,269)	(30,339)			
EBIT	146,682	113,969	199,413	216,661	284,180	338,869
EBITDA	225,979	245,763	270,077	330,747	395,722	454,695
Financial income	7,775	8,792	9,020			
Financial expenses	(12,414)	(14,431)	(12,318)			
Profit before income taxes	142,043	108,330	196,115	213,320	280,839	335,528
Total Income Tax	(40,011)	(27,556)	(51,054)	(56,370)	(81,505)	(97,303)
Profit	102,032	80,774	145,061	156,949	199,334	238,225
Attributable to:						
Owners of the parent company	87,121	70,272	134,675	144,937	184,078	219,992
Non-controlling interests	14,911	10,502	10,386	12,012	15,256	18,233
Basic EPS (JPY)	83.7	69.8	138.4	153.7	196.5	234.9
Total shares outstanding (m)	1,043	1,006	978	960	960	960
Segmental Margins						
Seasonings and Foods	15.1%	14.9%	15.3%	15.7%	16.1%	16.5%
Frozen Foods	4.8%	4.6%	3.1%	1.9%	1.8%	1.9%
Healthcare and Others	12.0%	14.0%	20.0%	26.4%	34.2%	39.9%
Total	10.3%	10.4%	11.4%	13.4%	15.7%	17.5%
Key Ratios						
Revenue growth %	5.9%	6.3%	3.5%	10.5%	7.2%	6.2%
Business Profit growth %	9.1%	7.9%	13.7%	29.3%	25.6%	18.6%
EPS growth %	(4.8%)	(16.7%)	98.3%	11.1%	27.9%	19.5%
Business Profit margin %	10.3%	10.4%	11.4%	13.4%	15.7%	17.5%
Net profit margin %	6.1%	4.6%	8.5%	8.3%	9.8%	11.0%
ROIC %	6.5%	7.5%	8.1%	9.7%	10.5%	11.1%

Source: company reports, Bernstein analysis and estimates

EXHIBIT 14: **AJINOMOTO Balance Sheet**

AJINOMOTO Balance Sheet						
(in JPY million)						
	Mar-24	Mar-25	Mar-26	Mar-27e	Mar-28e	Mar-29e
Tangible fixed assets	587,407	581,330	647,381	659,348	666,245	668,764
Others	477,456	438,503	460,795	456,863	452,975	449,179
Non-Current Assets	1,064,863	1,019,833	1,108,176	1,116,211	1,119,220	1,117,943
Cash and deposits	171,537	164,776	106,693	199,849	363,327	574,570
Trade and other receivables	185,564	174,136	194,221	203,503	218,055	231,533
Inventories	287,122	286,952	318,632	334,561	358,485	380,643
Other	65,409	75,434	84,624	84,624	84,624	84,624
Current Assets	709,632	701,298	704,170	822,538	1,024,490	1,271,370
Total Assets	1,774,495	1,721,131	1,812,346	1,938,749	2,143,710	2,389,313
Long term debt	104,598	211,795	206,410	172,879	139,348	105,817
Others	284,367	311,475	312,597	312,594	312,594	312,594
Non-Current Liabilities	388,965	523,270	519,007	485,473	451,942	418,411
Notes and accounts payable-trade	231,979	240,614	303,960	300,856	322,369	342,295
Short term debt	97,553	5,923	6,350	6,350	6,350	6,350
Others	171,933	138,051	138,753	138,758	138,758	138,758
Total Current Liabilities	501,465	384,588	449,063	445,964	467,477	487,403
Total Liabilities	890,430	907,858	968,070	931,437	919,419	905,814
Total Equity	884,065	813,273	844,276	1,007,312	1,224,291	1,483,499
Total Liabilities and Equity	1,774,495	1,721,131	1,812,346	1,938,749	2,143,710	2,389,313
Net Debt/ EBITDA	1.2x	1.2x	1.2x	0.6x	0.0x	-0.6x

Source: company reports, Bernstein analysis and estimates

EXHIBIT 15: **AJINOMOTO Cash Flow Statement**

AJINOMOTO Cash Flow Statement						
(in JPY million)						
	Mar-24	Mar-25	Mar-26	Mar-27e	Mar-28e	Mar-29e
Net income before MI	142,043	108,330	196,115	213,320	280,839	335,528
Depreciation and amortisation	78,298	86,461	88,914	96,515	101,541	105,827
Net Change in Operating Working Capital	78,206	30,674	124,143	(28,315)	(16,962)	(15,710)
Others	(130,473)	(15,566)	(169,821)	-	-	-
Cash Flow from Operating Activities	168,074	209,899	239,351	281,519	365,419	425,644
Net purchase of PP&E and intangible assets	(72,022)	(95,090)	(104,550)	(104,550)	(104,550)	(104,550)
Other	(60,412)	17,708	20,321	-	-	-
Cash Flow from Investing Activities	(132,434)	(77,382)	(84,229)	(104,550)	(104,550)	(104,550)
Change in debt	77,382	(11,535)	(33,247)	(33,531)	(33,531)	(33,531)
Dividends paid	(38,406)	(39,136)	(43,159)	(50,282)	(63,861)	(76,320)
Others	(45,729)	(87,013)	(149,197)	-	-	-
Cash Flow from Financing Activities	(6,753)	(137,684)	(225,603)	(83,813)	(97,392)	(109,851)
Effect of FX on changes in cash and cash equivalents	-	-	-	-	-	-
Net change in cash and cash equivalents	28,887	(5,167)	(70,481)	93,156	163,477	211,243
Cash and cash equivalents at end of period	171,537	164,776	106,693	199,849	363,327	574,570

Source: company reports, Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

Ticker	Rating	6 Aug 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2026A	2027E	2028E	2026A	2027E	2028E
2802.JP (Ajinomoto)	O	JPY	5,196.00	7,200.00	(6.2)%	JPY	138.36	153.66	196.55	37.6	33.8	26.4
OLD				7,100.00				152.65	192.70			
JPL			2,626.77									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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VALUATION METHODOLOGY**Ajinomoto Co Inc**

We set a JPY7,200 price target for Ajinomoto using an NTM P/E multiple of 35.0x against our forward NTM+1 EPS estimate of JPY206. This compares to an implied 34.6x FY3/28E P/E based on our DCF (8.5% WACC, 3.5% TVGR) and 35.2x P/E based on our SOTP analysis.

RISKS**Ajinomoto Co Inc**

Potential downside risks to our Price Target for Ajinomoto:

- Natural disaster results in supply chain disruption at single Functional Materials production site
- Entry of a new Build Up Film competitor / near term significant capacity expansion by existing competitor Sekisui
- IC packaging substrate technology advances reduce requirement for thermal barriers like ABF
- Competition from Chinese MSG producers spreads from B2B to branded products
- Value destructive M&A in Healthcare

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- **Credit Outperform (C-OP):** The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Neutral (C-N):** The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

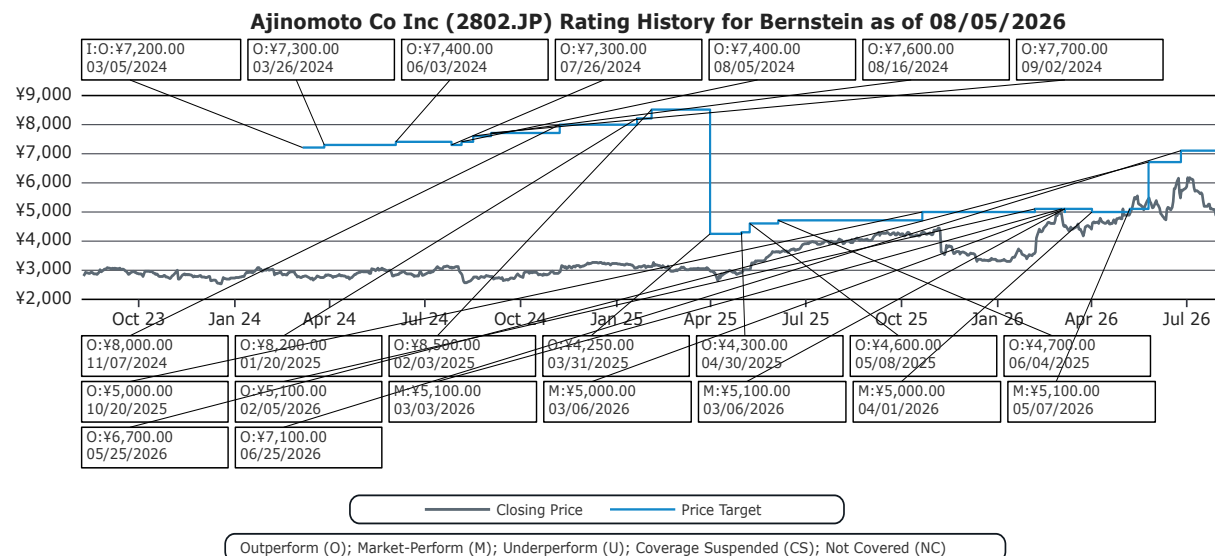
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